

HOUSE BILL 2225

By Gillespie

AN ACT to amend Tennessee Code Annotated, Title 39;
Title 47 and Title 65, relative to consumer
protection.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as a new part:

47-18-3501. Legislative findings.

The general assembly finds and declares the following:

- (1) The use of the telephone to market goods and services to the home is now pervasive due to the increased use of cost-effective telephone solicitation technologies and techniques;
- (2) While some consumers enjoy and benefit from telephone solicitations from legitimate telephone solicitors, many others object to these telephone solicitations as an intrusive invasion of their privacy in the home;
- (3) In addition, the proliferation of telephone solicitations, especially during the evening hours, creates a nuisance and a disturbance upon the home and family life of telephone subscribers during a time of day used by many families for traditional family activities;
- (4) Residents of this state should have the freedom to choose whether or not to permit telephone solicitors to contact them;
- (5) Individual privacy rights, personal safety, prevention of fraud, and commercial freedom of speech and trade must be balanced in a way that

protects the privacy of individuals and permits legitimate telephone solicitation practices;

(6) Legitimate telephone solicitors have no interest in continuing to invade the privacy of those telephone subscribers who affirmatively express their desires to receive no further telephone solicitations;

(7) Many telephone subscribers who have transacted business with firms that employ telephone solicitations have experienced problems with their checking and credit card accounts being debited before they can evaluate the terms and conditions of the transaction, before they can evaluate the merchandise or service to be delivered, or without their agreement to enter into the transaction or authorize such transactions in the first place. Other telephone subscribers have had unauthorized charges placed on their telephone bill and have had their long-distance carrier switched without their authorization as a result of telephone solicitations;

(8) New technologies that make telephone solicitations more cost-effective also allow for the creation of a "Do Not Call" registry through which consumers in this state can easily register their desires not to receive further telephone solicitations and telephone solicitors can easily access and employ lists of consumers who have registered those desires; and

(9) The public interest requires an efficient mechanism for telephone subscribers to notify telephone solicitors that their telephone numbers cannot be called and additional protections for residents in this state who enter into consumer transactions initiated through telephone solicitations.

47-18-3502. Part definitions.

As used in this part:

(1) "Affiliate" means a business establishment, business, or other legal entity that wholly or substantially owns, is wholly or substantially owned by, or is under common ownership with a telephone solicitor;

(2) "Do not call registry" means:

(A) The registry created and maintained by the federal trade commission pursuant to the telemarketing sales rule;

(B) Another telemarketing registry created by the federal government, including the federal communications commission; and

(C) Any registry created by the attorney general and reporter pursuant to § 47-18-3503(m);

(3) "Doing business in this state" means to make or cause to be made any telephone solicitation to telephone subscribers in this state, whether the telephone solicitations are made from a location inside or outside of this state;

(4) "Established business relationship" means a relationship between a seller and a consumer based on:

(A) The consumer's purchase, rental, or lease of the seller's goods or services or a financial transaction between the consumer and the seller or one (1) or more of its affiliates within the eighteen (18) months immediately preceding the date of a telephone solicitation; or

(B) The consumer's inquiry or application regarding a product or service offered by the seller within the three (3) months immediately preceding the date of a telephone solicitation;

(5) "Person" means an individual, business, or other legal entity;

(6) "Prior express written consent" means an agreement that:

(A) Is in writing;

(B) Bears the signature, including an electronic or digital form of signature to the extent that such form of signature is recognized as a valid signature under applicable state or federal law, of the person to be called that clearly authorizes the seller to deliver or cause to be delivered telephone solicitations to the person;

(C) Includes the telephone number to which the person authorizes such telephone solicitations to be delivered; and

(D) Includes a clear and conspicuous disclosure informing the person that:

(i) By executing the agreement, the person authorizes the seller to deliver or cause to be delivered telephone solicitations to the person; and

(ii) The person is not required to sign the agreement or agree to enter into such an agreement as a condition of purchasing any property, goods, or services;

(7) "Robocall":

(A) Means a voice communication that delivers artificial, artificially generated, or prerecorded voice messages, in whole or in part, including, but not limited to, telephone calls utilizing soundboard technology and ringless voicemail messages; and

(B) Includes spam and scam text messages received by a telephone subscriber through a messaging application;

(8) "Robocaller" means a person doing business in this state that, directly or through others, makes, attempts to make, causes to be made, or otherwise provides substantial assistance or support for making robocalls;

(9) "Telemarketing sales rule" means the federal regulation promulgated by the federal trade commission (16 CFR Part 310), as amended, to implement the federal Telemarketing and Consumer Fraud and Abuse Prevention Act (15 U.S.C. §§ 6101-6108), as amended;

(10) "Telephone solicitation":

(A) Means:

(i) A voice or text communication, whether prerecorded, live, or a facsimile, over a telephone line or wireless telephone network or via a commercial mobile radio service that is made by a telephone solicitor to a telephone subscriber for the purpose of soliciting or encouraging the purchase or rental of, or investment in, property, goods, or services;

(ii) Obtaining or providing information that will or may be used for the purposes described in subdivision (10)(A)(i);

(iii) Soliciting or encouraging a telephone subscriber's participation in any contest, sweepstakes, raffle, or lottery, whether legal or illegal; or

(iv) Obtaining a charitable donation; and

(B) Includes transactions that meet the definition of telemarketing under the telemarketing sales rule;

(11) "Telephone solicitor":

(A) Means any person doing business in this state that, directly or through salespersons or agents, makes, attempts to make, causes to be made, or otherwise provides substantial assistance or support for making telephone solicitations; and

(B) Includes any party that meets the definition of a telemarketer under the telemarketing sales rule; and

(12) "Telephone subscriber":

(A) Means an individual who subscribes to a residential telephone service from a local exchange company, a competing local provider certified to do business in this state, or a wireless telephone company; and

(B) Includes an individual living or residing with such individual.

47-18-3503. Restrictions on telephone solicitations.

(a) Except as provided in § 47-18-3504, a telephone solicitor shall not make a telephone solicitation to a telephone subscriber's telephone number if the telephone subscriber's telephone number appears in the latest edition of the do not call registry.

(b) A telephone solicitor shall not make a telephone solicitation to a telephone subscriber's telephone number if the telephone subscriber previously has communicated to the telephone solicitor a desire to receive no further telephone solicitations from the telephone solicitor to that number.

(c) A telephone solicitor who makes a telephone solicitation shall:

(1) At the beginning of the telephone solicitation, state clearly the identity of the telephone solicitor and identify the individual making the telephone solicitation;

(2) Upon request, provide the telephone subscriber with the telephone number or address at which the telephone solicitor may be contacted;

(3) If the telephone subscriber requests to be taken off the contact list of the telephone solicitor, take all steps necessary to remove the telephone subscriber's name and telephone number from the contact list of the telephone

solicitor and stop calling the telephone subscriber within thirty (30) business days;

(4) If the telephone subscriber objects to the telephone solicitation, terminate the telephone solicitation and, if the telephone solicitation is a voice communication, promptly disconnect from the telephone line of the person receiving the call; and

(5) Notwithstanding subdivision (c)(3), if a telephone solicitor relies on the established business relationship of an affiliate to solicit a residential telephone subscriber whose telephone number is listed in the latest edition of the do not call registry and the person called communicates a desire to receive no further telephone solicitations from the telephone solicitor, take all steps necessary to remove that telephone subscriber's telephone number from the contact lists of the telephone solicitor and that affiliate, unless the telephone subscriber indicates otherwise, and the telephone solicitor and that affiliate shall stop calling or texting the telephone subscriber at that number within sixty (60) business days.

(d) Each telephone solicitor shall implement systems and written procedures to prevent further telephone solicitations to any telephone subscriber who has asked not to be called or texted again at a specific number or numbers or whose telephone number appears in the do not call registry. Each telephone solicitor shall train, monitor, and enforce compliance by its employees and shall monitor and enforce compliance by its independent contractors in such systems and procedures. Each telephone solicitor shall ensure that lists of telephone numbers that may not be contacted by the telephone solicitor are maintained and recorded. Compliance with the time requirements within the

telemarketing sales rule for incorporating and complying with updated versions of the do not call registry constitute compliance with this section.

(e) Except as provided in § 47-18-3504, a telephone solicitor shall not violate any requirement of 16 CFR § 310.3, 16 CFR § 310.4, or 16 CFR § 310.5.

(f) A telephone solicitor shall not make a telephone solicitation before eight o'clock a.m. (8:00 a.m.) or after nine o'clock p.m. (9:00 p.m.), based upon the telephone subscriber's local time zone.

(g) A telephone solicitor shall inquire as to whether the telephone subscriber is under eighteen (18) years of age. If the telephone subscriber purports to be less than eighteen (18) years of age, then the telephone solicitor shall discontinue the call or text conversation immediately. An inquiry is not required where the solicitor has taken reasonable steps to remove all telephone contacts who are less than eighteen (18) years of age from its list of subscribers being contacted or can demonstrate that it does not target subscribers who are less than eighteen (18) years of age.

(h) A telephone solicitor or robocaller shall not engage in threats, intimidation, or the use of profane or obscene language.

(i) A telephone solicitor or its agent that makes telephone solicitations on its behalf, provided, that the telephone solicitor ensures compliance by its agent, shall keep a record for a period of twenty-four (24) months from the date a telephone solicitation is made of the legal name, any fictitious name used, the resident address, the telephone number, and the job title of each individual who makes a telephone solicitation for that telephone solicitor. If an individual who makes telephone solicitations for a telephone solicitor uses a fictitious name, then the fictitious name must be traceable only to that specific individual.

(j) This section does not prohibit a telephone solicitor from contacting by nontelephonic notice a telephone subscriber whose telephone number appears in the do not call registry to obtain the telephone subscriber's prior express written consent allowing the telephone solicitor to make telephone solicitations to the telephone subscriber. A telephone solicitor shall not contact a telephone subscriber by telephone to obtain such prior express written consent.

(k) This section does not prohibit a telephone solicitor from advertising in a general medium or contacting by nontelephonic notice a telephone subscriber whose telephone number appears in the do not call registry to encourage the telephone subscriber to initiate telephone calls to the telephone solicitor. A telephone solicitor shall not contact a telephone subscriber by telephone to obtain such prior express written consent.

(l)

(1) The attorney general and reporter, in consultation with the staff of the Tennessee public utilities commission, shall draft the contents of a bill insert or bill message, a direct mailing, and an email that notifies consumers of the existence of the do not call registry and provides information to consumers on how to use it and the other provisions of this part to object to receiving telephone solicitations. Local exchange companies shall distribute the notification pursuant to subdivision (l)(2).

(2) A local exchange company shall distribute the bill insert or bill message created pursuant to subdivision (l)(1) at least annually by one (1) of the following methods:

(A) Bill insert or bill message;

(B) Direct mail; or

(C) Email, if the subscriber has affirmatively selected email as a means of notification.

(3) The Tennessee public utilities commission shall also ensure that such information is printed in a clear, conspicuous manner in the consumer information pages of each telephone directory distributed to residential customers.

(m) In the event that the federal do not call registry is not operational on January 1, 2027, or ceases to operate for any reason after January 1, 2027, the attorney general and reporter may develop, operate, and maintain such a registry for the benefit of telephone subscribers in this state.

(n) In telephone solicitation transactions involving telephone subscribers, a contract or purchase agreement entered into during a telephone solicitation is not valid, and money from the prospective purchaser is not due thereunder, unless:

(1) The contract and the sales representations that precede it are not deceptive or abusive telemarketing acts or practices as described in 16 CFR §§ 310.3 and 310.4, only to the extent that this part requires telephone solicitors to comply with such regulations;

(2) The telephone solicitor has complied with the recordkeeping requirements of 16 CFR § 310.5, only to the extent that this part requires telephone solicitors to comply with such regulation; and

(3) The contract and the sales representations that precede it comply with all other applicable federal and state laws, including chapter 25, part 1, of this title.

47-18-3504. Limited exceptions.

(a) Section 47-18-3503 does not apply to a telephone solicitation that is made:

(1) To a telephone subscriber with the telephone subscriber's prior express written consent;

(2) To a telephone subscriber with whom the telephone solicitor has an established business relationship;

(3) By or on behalf of a tax-exempt nonprofit organization;

(4) By or on behalf of a telephone solicitor that employs fewer than ten (10) full-time or part-time direct employees, the telephone solicitations are made by the direct employees, and the direct employees collectively make or attempt to make no more than an average of ten (10) telephone solicitations to telephone subscribers per week during a calendar year;

(5) To a telephone subscriber for the sole purpose of arranging a subsequent face-to-face meeting between the telephone solicitor and the telephone subscriber and during the telephone solicitation the telephone solicitor does not:

(A) Seek payment from the telephone subscriber in connection with the sale or rental of, or investment in, property, goods, or services;

(B) Complete the sale or rental of, or investment in, property, goods, or services;

(C) Obtain provisional acceptance of a sale, rental, or investment;

(D) Obtain the agreement of the telephone subscriber to participate in any contest, sweepstakes, raffle, or lottery; or

(E) Directly following the telephone solicitation, go or cause an individual to go to the telephone subscriber to collect a payment or deliver any item purchased; and

(6) By a person primarily soliciting the sale of a subscription for a newspaper of general circulation.

(b) Section 47-18-3503(c)(3), (d), (g), and (i) do not apply to telephone solicitations described in subdivisions (a)(1)-(5).

(c) Section 47-18-3503(e) does not apply to telephone solicitations described in subdivisions (a)(4) and (5).

(d) Section 47-18-3503(e) does not apply to telephone solicitations described in subdivisions (a)(1), (2), and (3), except that such telephone solicitations must comply with 16 CFR §§ 310.3(a)(2), (a)(3), (a)(4), (c), (d) and 16 CFR §§ 310.4(a), (b)(1)(i), (b)(1)(iv), (b)(2), (b)(3), (b)(4), and (e).

(e) In any dispute regarding whether a telephone subscriber has provided prior express written consent under subsection (a), the telephone solicitor has the burden of proving that the telephone subscriber has provided such consent by producing the original document, a facsimile document, or an electronic form, signed by the telephone subscriber, or other authentication that evidences consent. A telephone subscriber may subsequently retract prior express written consent by indicating a desire not to receive further telephone solicitations under § 47-18-3503(b).

47-18-3505. Restrictions on use of robocalls.

(a) Except as provided in this section, a person shall not make a robocall to a telephone number.

(b) Notwithstanding subsection (a), a person may make a robocall only under one (1) or more of the following circumstances:

(1) All of the following are satisfied:

(A) The person making the robocall is:

(i) A tax-exempt charitable or civic organization;

- (ii) A political party or political candidate;
 - (iii) A governmental official; or
 - (iv) An opinion polling organization, radio station, television station, cable television company, or broadcast rating service conducting a public opinion poll;
- (B) No part of the robocall is used to make a telephone solicitation; and
- (C) The person making the robocall clearly identifies the person's name and contact information and the nature of the unsolicited telephone robocall;
- (2) Prior to the playing of the robocall, a live operator complies with § 47-18-3503(c), states the nature and length in minutes of the recorded message, and asks for and receives prior approval to play the recorded message from the person receiving the call;
- (3) The robocall is in connection with an existing debt or contract for which payment or performance has not been completed at the time of the robocall, and both of the following are satisfied:
- (A) No part of the robocall is used to make a telephone solicitation; and
 - (B) The person making the robocall clearly identifies the person's name and contact information and the nature of the robocall;
- (4) The robocall is placed by a person with whom the telephone subscriber has made an appointment, as long as the robocall is conveying information only about the appointment, or by a utility, telephone company, cable television company, satellite television company, or similar entity for the sole

purpose of conveying information or news about network outages, repairs, or service interruptions, and confirmation robocalls related to restoration of service, and both of the following are satisfied:

(A) No part of the robocall is used to make a telephone solicitation; and

(B) The person making the robocall clearly identifies the person's name and contact information and the nature of the robocall;

(5) The person plays the robocall in order to comply with 16 CFR § 310.4(b)(4);

(6) The robocall is placed by, or on behalf of, a health insurance entity, as defined in § 56-7-109, from which the telephone subscriber or other covered family member receives healthcare coverage or the administration of such coverage, as long as the robocall is conveying information related to the telephone subscriber or family member's health care, preventive services, medication, or other covered benefits, and both of the following are satisfied:

(A) No part of the robocall is used to make a telephone solicitation; and

(B) The person making the robocall clearly identifies the person's name and contact information and the nature of the robocall;

(7) No part of the robocall is used to make a telephone solicitation, the person making the robocall clearly identifies the person's contact information and the nature of the robocall, and the sole purpose of the robocall is to protect the public health, safety, or welfare, by informing the telephone subscriber that the telephone subscriber:

(A) Has purchased a product that is subject to a recall by the product's manufacturer, distributor, or retailer, or by the federal consumer product safety commission or another government agency or department with legal authority to recall the product that is the subject of the robocall, due to safety or health concerns, as long as:

(i) There is a reasonable basis to believe that the telephone subscriber has purchased the product; and

(ii) The message complies with any requirements imposed by any government agency instituting the recall;

(B) May have received a prescription or over-the-counter medication that is subject to a recall by the product's manufacturer, distributor, or retailer, or by the federal food and drug administration or another government agency or department with legal authority to recall the product that is the subject of the robocall, due to safety or health concerns, as long as:

(i) The robocall and its message comply with the requirements of the Health Insurance Portability and Accountability Act of 1996 (HIPAA) (42 U.S.C. § 1320d et seq.) and any corresponding regulations pertaining to privacy;

(ii) There is a reasonable basis to believe that the telephone subscriber has purchased or received the medication; and

(iii) The message complies with any requirements imposed by the government agency or product manufacturer, distributor, or retailer instituting the recall; or

(C) Has not picked up a filled prescription drug for which a valid prescription is on file with a pharmacy licensed by the board of pharmacy pursuant to § 63-10-310 and the telephone subscriber requested that the prescription be filled, as long as the robocall and its message comply with the requirements of the Health Insurance Portability and Accountability Act of 1996 (HIPAA) (42 U.S.C. § 1320d et seq.) and any corresponding regulations pertaining to privacy; or

(8) The robocall is generated from a court proceeding notification system established or authorized by the administrative office of the courts.

47-18-3506. Restrictions on spoofing and impersonating government officials.

(a) A telephone solicitor or robocaller shall not cause misleading information to be transmitted to users of caller identification technologies or otherwise block or misrepresent the origin of a telephone solicitation or robocall. A provider of telephone caller identification services is not liable for violations of this subsection (a) committed by other individuals or entities. It is not a violation of this subsection (a) for a telephone solicitor to utilize the name and number of the entity the solicitation is being made on behalf of rather than the name and number of the telephone solicitor.

(b) A telephone solicitor or robocaller shall not impersonate any federal, state, or local government official, law enforcement professional, or government agency in order to defraud, confuse, or financially or otherwise injure the telephone subscriber or in order to obtain personal information from the telephone subscriber that may be used in a fraudulent or unlawful manner.

47-18-3507. Enforcement.

(a)

(1) The attorney general and reporter may investigate any complaints received alleging a violation of this part. If the attorney general and reporter finds that there has been a violation of this part, then the attorney general and reporter may bring an action to impose civil penalties and to seek any other appropriate relief under this chapter, including equitable relief to restrain the violation. If the attorney general and reporter brings an action on behalf of telephone subscribers pursuant to subsection (c), then the attorney general and reporter shall not seek treble damages on behalf of telephone subscribers. Actions for civil penalties under this section must be consistent with the provisions of this chapter, except that the penalty imposed for a violation of this part must be either:

(A) Five hundred dollars (\$500) for the first violation, one thousand dollars (\$1,000) for the second violation, and five thousand dollars (\$5,000) for the third or a subsequent violation that occurs within two (2) years of the first violation; or

(B) One hundred dollars (\$100) for each violation within two (2) years of the first violation, if the telephone solicitor or robocaller can show that the violations are the result of a mistake and the telephone solicitor or robocaller either made the telephone solicitation or robocall under § 47-18-3504(a)(1)-(5), or can show that the telephone solicitor complied with § 47-18-3503(d). This subdivision (a)(1)(B) does not apply if the telephone solicitor or robocaller violated § 47-18-3506.

(2) If a single call or text violates multiple provisions of this part, then penalties must be assessed for each violation of this part caused by that call.

(b) There is a rebuttable presumption that a telephone subscriber with an area code in this state is a resident of this state or in this state at the time a telephone solicitation or robocall is made.

(c)

(1) A telephone subscriber who has received a robocall or a telephone solicitation from or on behalf of a telephone solicitor or robocaller in violation of this part may bring the following actions in civil court:

(A) An action to enjoin further violations of this part by the telephone solicitor or robocaller; and

(B) An action to recover five hundred dollars (\$500) for the first violation, one thousand dollars (\$1,000) for the second violation, and five thousand dollars (\$5,000) for the third or a subsequent violation that occurs within two (2) years of the first violation.

(2) If a single call or text violates multiple provisions of this part, then penalties must be assessed for each violation of this part caused by that call or text.

(d)

(1) A telephone subscriber does not have a cause of action under subsection (c) if the violations are a result of a mistake and the telephone solicitor either made the telephone solicitation under § 47-18-3504(a)(1)-(5), or can show that the telephone solicitor complied with § 47-18-3503(d).

(2) Notwithstanding subdivision (d)(1), an action may be brought under subsection (c) if the telephone solicitor or robocaller violated § 47-18-3506.

(e) In an action brought pursuant to this part, the court may award a prevailing plaintiff reasonable attorney fees if the court finds the defendant willfully engaged in the

act or practice, and the court may award reasonable attorney fees to a prevailing defendant if the court finds that the plaintiff knew, or should have known, that the action was frivolous and malicious.

(f) A citizen of this state may also bring an action in civil court to enforce the private rights of action established by federal law under 47 U.S.C. § 227(b)(3) and 47 U.S.C. § 227(c)(5).

(g) Actions brought by telephone subscribers pursuant to this section must be tried in the county where the plaintiff resides at the time the action commences.

SECTION 2. This act takes effect October 1, 2026, the public welfare requiring it, and applies to actions occurring on or after that date.